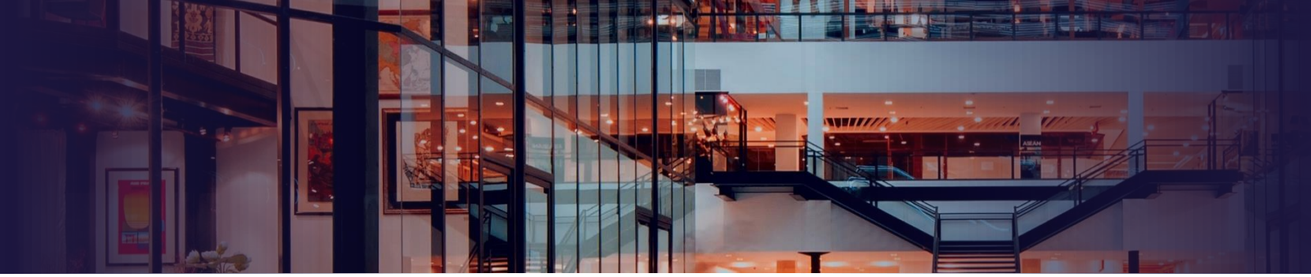

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MARKET FUNDAMENTALS

	YOY Chg	Outlook
$90,600 Median HH Income	▲	▲
1.8% Population Growth	▲	▲
3.5% Unemployment Rate	▲	▲

Source: BLS

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.4% GDP Growth	▼	▲
3.0% Consumer Spending Growth	▲	▲
3.2% Retail Sales Growth	▲	▬

Source: BEA, Census Bureau

ECONOMY: PHOENIX OUTPERFORMS NATIONAL AVERAGES

In Q1 2025, the Phoenix Metro recorded an employment level of 2.5 million jobs while the unemployment rate rose significantly from 3.0% in Q1 2024 to 3.5% to start 2025. Phoenix's unemployment rate remained well below the national average of 4.1% and was the second-lowest rate of any major city with employment exceeding 2 million jobs. The metro area continued to experience strong growth, as the number of households increased by 2.5% year-over-year (YOY) to 2.0 million. Strong wage growth drew job seekers back into the labor market, as the median household income reached $90,600, up 4.5% YOY. In comparison, the national average salary rose 3.5% YOY to $81,700. Phoenix outperformed national figures due to its robust job market, steady population growth, and competitive wages, which attracted both businesses and workers to the region.

DEMAND: NET ABSORPTION RETURNS TO POSITIVE TERRITORY

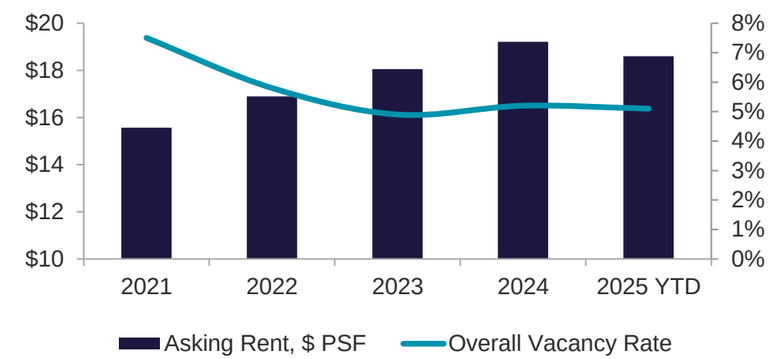
During the first quarter of 2025, the overall vacancy rate in the metro Phoenix retail market was 5.1%, representing a YOY uptick of 20 basis points (bps) from the 4.9% level recorded in Q1 2024. The Central Business District submarket recorded the lowest overall vacancy rate at 3.5%, while the Mesa submarket recorded the highest overall vacancy rate at 9.2%.

In Q1 2025, the Phoenix retail market posted 191,223 square feet (sf) of positive absorption — offsetting the -155,159 sf of negative absorption that was recorded in Q4 2024. The Southeast Valley submarket achieved the strongest net absorption to start off 2025, with 138,432 sf, while the North I-17 submarket led the region in negative absorption with -136,284 sf.

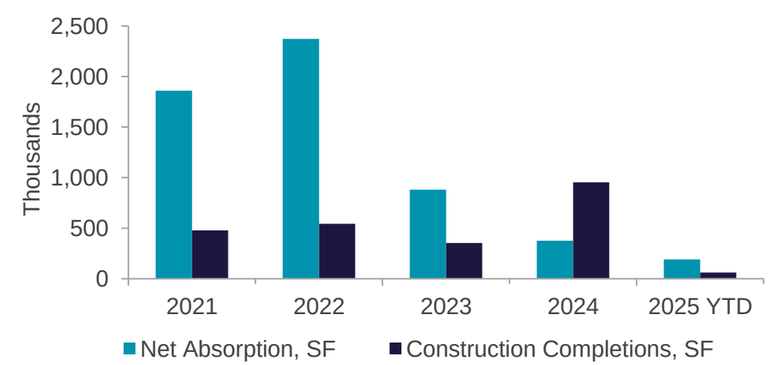
PRICING: RENTAL RATES SUSTAIN STEADY GROWTH

The direct average asking rate across the metro Phoenix retail market was $18.60 per square foot (psf) on an annual triple net basis in the first quarter of 2025. This marks a 2.6% YOY increase from the $18.13 psf average asking rate that was recorded in the first quarter of 2024. In Q1 2025, the Scottsdale submarket had the highest asking rate of the eleven submarkets, at $28.86 psf. On the other hand, the Mesa submarket had the lowest average asking rate among the group, at $12.46 psf.

ASKING RENT / VACANCY RATE



SPACE DEMAND / DELIVERIES



Source: CoStar

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (NNN)*
Northwest Phoenix	28,850,721	32,959	1,149,284	4.1%	89,831	89,831	176,230	244,382	$19.37
Southwest Phoenix	4,054,635	1,898	185201	4.6%	-9,947	-9,947	6,165	0	$13.20
North I-17	18,703,754	3,154	1,327,412	7.1%	-136,284	-136,284	179,534	30,509	$16.68
North Central Phoenix	10,080,197	7,890	505,502	5.1%	15,654	15,654	78,989	92,000	$20.41
Scottsdale	14,840,043	14,300	595,639	4.1%	81,750	81,750	95,327	0	$28.86
Mesa	8,184,321	4,661	749,250	9.2%	-70,836	-70,836	39,712	0	$12.46
Southeast Valley	39,022,931	32,339	1,685,163	4.4%	138,432	138,432	203,785	262,428	$18.49
Tempe	6,756,451	10,666	357,869	5.5%	54,897	54,897	19,288	150,000	$17.83
Sky Harbor Airport	1,132,493	0	39,140	3.5%	5,676	5,676	6,260	0	$20.82
East Phoenix	4,761,181	0	225,150	4.7%	21,965	21,965	9,046	0	$19.02
CBD	466,559	0	16,311	3.5%	85	85	0	0	$42.86
PHOENIX TOTALS	**136,853,286**	**107,867**	**6,835,921**	**5.1%**	**191,223**	**191,223**	**814,336**	**779,319**	**$18.60**

** Rental rates reflect Triple Net asking $PSF/Year*

KEY LEASE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Goodyear Centrepointe	Northwest Phoenix	Slick City	44,506	Direct
Metro Towne Center	North I-17	Ross Dress for Less	30,187	Renewal
Metro Towne Center	North I-17	PetSmart	22,503	Renewal
Terravita Marketplace	Scottsdale	The Picklr	21,000	Direct
SanTan Village Marketplace	Southeast Valley	La-Z-Boy	18,182	Direct

**Renewals not included in leasing statistics*

KEY SALE TRANSACTIONS Q1 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
The Steelyard	Southeast Valley	Faring / Jason & Jessica Illoulian	26,260	$18.3M / $695
Sprouts & Bookmans Center	North I-17	Town West Realty / Tarantino Properties	98,145	$17.0M / $173
Happy Valley Center	Northwest Phoenix	Andre L. Laibe / Mark S Dix	28,992	$11.1M / $384
The Shops at Apache Junction	Mesa	Thrive Real Estate / James O'Sullivan	62,631	$10.7M / $171
Trevor's @ Paradise Valley Mall	North Central Phoenix	RED Development / Preferred Living	14,060	$6.2M / $441

KEY CONSTRUCTION COMPLETIONS YTD 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
SWC of 29th Ave & Dove Valley Rd	North I-17	Oregano's	34,456	Thompson Thrift
Morrison Ranch – Anchor Space	Southeast Valley	Fry's Marketplace	20,000	Barclay Group

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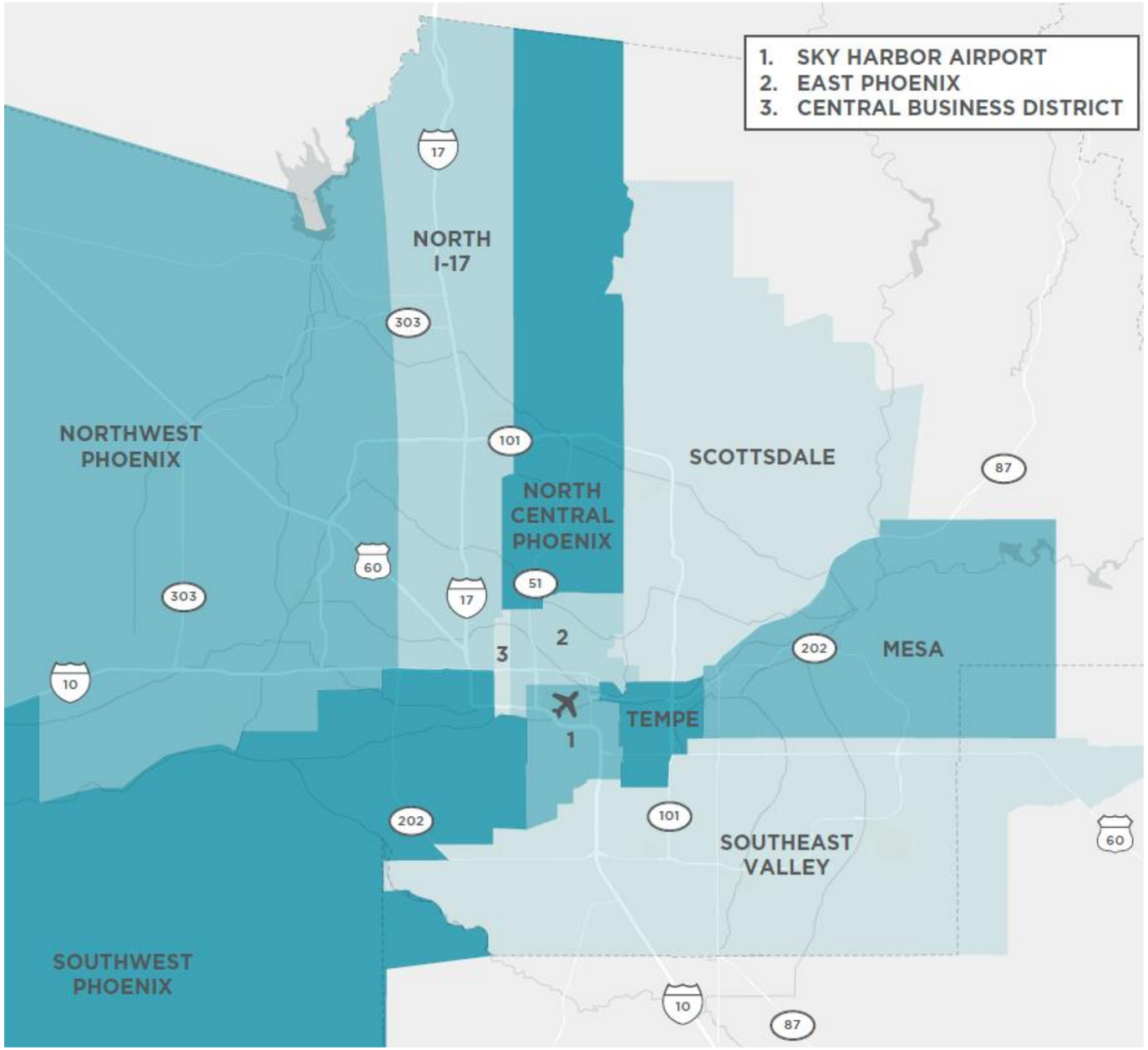
RETAIL SUBMARKETS



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